

Basic Mortgage Qualifying Transcript

You will work with many people in your real estate career. Although it's not your role to say whether or not someone will qualify, you may want to know how qualification is determined.

Gross Income and Net Income

Gross income and net income are key figures when qualifying for a loan. Gross income is what a person makes. If you subtract taxes and other expenses from the gross amount, you're left with net income. This is what a person "brings home."

$$\text{Gross income} - \text{taxes and expenses} = \text{net income}$$

Typical Debt-to-Income Ratios

Gross income is used to calculate the housing debt-to-income ratio and total debt-to-income ratio. All lenders have different underwriting standards, but typically the housing debt-to-income ratio is 25% to 28%. It's 33% to 36% for total debt-to-income ratio. If a potential buyer falls within these ranges, he may qualify for a home loan, depending on credit score and other factors.

Calculating Housing and Total Debt-to-Income Ratios

Step 1

Let's say you're working with a family whose lending institution uses a housing debt-to-income ratio of 25%, and 33% for total debt to income. This family has a monthly gross income of \$5,000 and expenses of \$500. To find the maximum house payment they'd qualify for, multiply their gross income of \$5,000 by the 25% housing debt-to-income ratio, and you get \$1,250.

Step 2

But this is only part of the qualifying process. We want to make sure that they still fall within the total debt-to-income ratio. Take their gross income again and multiply by the total debt-to-income ratio of 33%, and we get \$1,650.

Result

Looking at their monthly expenses of \$500 and a maximum house expense of \$1,250 per month does put them above \$1,650. Either cutting monthly expenses or keeping the house expense below \$1,150 are options for this family.

You'll find these formulas and others on your Real Estate Math Cheat Sheet.